

May 22, 2026

Senator Spiros Mantzavinos
Chair, Senate Banking, Business,
Insurance & Technology Committee
411 Legislative Ave., P.O. Box 1401
Dover, DE 19901

Senator Trey Paradee
Vice Chair, Senate Banking, Business,
Insurance & Technology Committee
411 Legislative Ave., P.O. Box 1401
Dover, DE 19901

Representative Krista Griffith
411 Legislative Ave., P.O. Box 1401
Dover, DE 19901

RE: Letter in Opposition to Delaware HB 380

Dear Chair Mantzavinos, Vice Chair Paradee, and Representative Griffith:

On behalf of the advertising industry, we write to oppose Delaware HB 380, as amended by House Amendment 2, and we offer this letter to express our non-exhaustive list of concerns with the proposed legislation.¹ We and the companies we represent, many of whom do substantial business in Delaware, strongly believe consumers deserve meaningful protections supported by reasonable laws and industry policies. However, as currently drafted, HB 380 would amend the Delaware Personal Data Privacy Act (“DPDPA”) in a manner that would diverge from the existing state privacy law consensus. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate Banking, Business, Insurance, & Technology Committee (“Committee”).

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product (“GDP”) in 2024.² By one estimate, approximately 17.3% of Delaware jobs in 2024 were related to the ad-subsidized Internet, a share projected to increase to 18.8% by 2029.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage further with you on the issues we discuss in this letter.

I. HB 380 would impose a “notice at collection” requirement that diverges from the vast majority of existing state privacy laws.

HB 380 would amend the DPDPA to require that businesses disclose processing purposes “at the time of collection” and restrict subsequent uses of personal data to those purposes unless

¹ Delaware HB 380 (2026 Session) located [here](#) (hereinafter, “HB 380”) and House Amendment 2 located [here](#).

² S&P Global, THE ECONOMIC IMPACT OF ADVERTISING ON THE US ECONOMY, 2024-2029 at 4 (Aug. 2025), located at https://theadcoalition.com/wp-content/uploads/2025/08/TAC_SP-Global-Final-Report_August-2025.pdf.

³ *Id.* at 15-16.

additional consumer consent is obtained.⁴ This departs from the framework adopted in most state privacy laws, which generally require businesses to maintain publicly available privacy notices describing categories of data collected and processing purposes, but do not mandate a separate, additional collection-stage disclosure tied to purpose limitation obligations. By including a “notice at collection” concept into Delaware law through amendment, HB 380 would create uncertainty regarding notice and would impose additional compliance obligations on companies already operating and complying with the DPDPA.

HB 380’s “notice at collection” requirement is particularly burdensome for third parties that lack direct consumer relationships through which to provide notice. In practice, many third parties that process personal data, for purposes like fraud prevention and analytics to improve products and services, do not control the business’ websites or physical locations where the data was originally collected and therefore cannot provide notice at a particular *moment in time*. As drafted, the bill would create an unfair competitive advantage for businesses that directly interact with consumers, while disadvantaging independent third parties engaged in responsible processing that provide transparency through accessible and clear privacy notices but would not necessarily be able to satisfy this new requirement. Accordingly, data disclosures that are reasonably compatible with additional purposes and accessible and available should be sufficient to provide transparency to consumers.

II. House Amendment 2 to HB 380 would establish prescriptive sensitive data consent requirements that are unnecessary and misaligned with other state laws.

House Amendment 2 to HB 380 would impose highly prescriptive consent requirements for the processing of sensitive data that diverge from the approach adopted in other state privacy laws.⁵ While existing state privacy laws generally require consumer consent before processing sensitive personal data, House Amendment 2 to HB 380 would layer on rigid operational and disclosure requirements that create unnecessary complexity for businesses already complying with the DPDPA. By departing from the existing standards reflected across state privacy laws, the amendment would create a fragmented compliance environment in which businesses would need to build Delaware-specific consent flows, disclosures, and recordkeeping processes that are inconsistent with national practices and in ways that do not serve residents of Delaware. In particular, the proposed new sensitive data consent requirements are unlikely to provide meaningful additional consumer protection beyond existing consent obligations, but they would increase implementation costs and undermine efforts to maintain consistency across state privacy laws. Delaware should avoid adopting outlier consent mandates that move further away from regulatory harmonization.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 (“CCPA”) concluded that the initial compliance costs to California firms for the CCPA *alone* would be \$55 billion.⁶ Additionally, a recent study on a proposed privacy bill in a different state

⁴ HB 380 Sec. 1, § 12D-106(a)(2).

⁵ HB 380, as amended by House Amendment 2, § 12D-106(a)(12).

⁶ See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations* at 11 (Aug. 2019), located at

found that the proposal would have generated a direct initial compliance cost of between \$6.2 billion to \$21 billion, and an ongoing annual compliance cost of between \$4.6 billion to \$12.7 billion for companies.⁷ Other studies confirm the staggering costs associated with different state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.⁸ Delaware should not enact amendments to the DPDPA that could add to this compliance burden for businesses.

* * *

As currently drafted, HB 380 would amend the DPDPA in ways that do not align with the approach taken by many states, causing confusion and undue compliance burdens. We therefore respectfully ask the Committee to decline to advance HB 380 as proposed.

Thank you in advance for your consideration of this letter.

Sincerely,

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https://dof.ca.gov/media/docs/forecasting/economics/major-regulations/major-regulations-table/CCPA_Regulations-SRIA-DOF.pdf.

⁷ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida* at 2 (Oct. 2021), located at <https://floridatxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

⁸ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).